



“Our mantra for 2022 was about practising asset allocation and being systematic with equity investing. Now, in 2023, we have added that investors should consider investing in debt MFs”

S. NAREN
ED & CHIEF
INVESTMENT
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“The outperformance of value stocks is likely to continue in the first half (January-June) of calendar year 2023. Growth as a theme could come back by mid-2023”

B. GOPKUMAR
MANAGING
DIRECTOR
& CEO,
AXIS SECURITIES



“Perhaps value-[based strategy] will continue to perform in India, with relatively inexpensive sectors likely to perform better in CY23”

NITIN BHASIN
CO-HEAD, AMBIT
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have given returns of 5.29 per cent YTD, mid-caps have given returns of 3 per cent and small-caps just 0.20 per cent. What should be part of your portfolio in 2023?

Ambit's Bhasin is overweight on large-caps. “Higher reinvestment rates for growth and reasonable valuations make us prefer relatively large caps,” he says, adding that mid-caps are currently expensive, given the high expectations of growth and margins driving punchy valuations. Kotak's Tibrewal believes that a portfolio with a good mix of large-caps (to hedge volatility risk) and secular earnings growth across mid-/small-caps should be the right approach. A bottom-up portfolio strategy focussing on companies with leadership, low leverage, high cash flows, growth surprises ahead and reasonable valuations would be ideal for superior risk-adjusted returns in 2023.

SIPS AND DEBT FUNDS

Experts say a long-term investor shouldn't be too worried about market volatility. Besides, investing through systematic investment plans (SIPs) is a good way to beat the market's choppiness. It helps you invest a certain amount at regular intervals so that you can beat the volatility by averaging out the buying cost over the long term.

In addition, you must also be aware of the most tax-efficient market investment. For instance, if you don't exhaust the limit of ₹1.5 lakh under section 80C with compulsory investments and expenses, invest in an ELSS (equity-linked savings scheme)—one of the best tax-

saving instruments. “It gives average returns of around 12-14 per cent, it can save tax of up to ₹46,800 and above all, it has the shortest lock-in period of three years among all 80C options,” says Gauri Chadha, a tax expert.

There are also other instruments, like debt funds. These have not done well lately, giving returns of just 3-4 per cent, since the RBI has been increasing the repo rate—the rate at which banks borrow from the central bank—over the past year, leading to rising yields across maturities, and prices going down. But experts say there is greater opportunity to generate returns in debt now compared to three years ago. S. Naren, ED & CIO of ICICI Prudential AMC, says that the 13 years between 2008 and 2021 saw quantitative easing by global central banks. “Corporate India could easily borrow at very low rates (close to zero) globally [then]. Today, that is no longer the case given that banks have moved on to quantitative tightening and rates have risen. This would translate to corporates borrowing more domestically, which is another reason debt becomes interesting,” he says.

The mantra for 2022, Naren says, was practicing asset allocation and being systematic with equity investing. “Now, in 2023, we are continuing the same and have added that investors should consider investing in debt mutual funds,” he adds. For prudent investors, 2023 could turn out to be exciting. **BT**

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